a default and is unlikely to see such an eventuality. Offering the function of lender of last resort as a reason to hold realized surpluses is nothing but an intricately designed excuse.

The last of the arguments offered relates to foreign exchange management. RBI buys foreign currency assets using funds arising from two basic resource pools: funds generated by the issuance of currency/reserve money, and funds retained as capital (both realized and unrealized equity).

The reserve money supply, nominal value of currency in circulation and bankers' deposits do not change on account of any change in the value of the reserves' assets procured against money supply. Therefore, even if there is a change in the rupee value of foreign currency assets, the money supply remains unchanged. There is no need for RBI to use realized equity to provide for valuation change in foreign currency assets held as reserve assets.

The argument to provide for valuation change in foreign currency assets by using provisions out of realized equity is a poor one. It posits that RBI first uses accumulated capital/reserves to buy foreign currency assets and then requires accumulated reserves to provide for a loss in their valuation. If there are no accumulated profits/equity to buy the foreign currency assets, there would be no loss in valuation of such assets and consequently no need to provide for provisions for such losses!

Any way you see it, there is no justification or requirement for RBI to hold any reserves/provisions to manage its key functions of being the monetary authority and lender of last resort or for foreign exchange management. All these arguments are nothing but hogwash, created only to justify retention of profits.